

It's not too early to start saving for college

Date: 2026-01-28

Source: <https://www.franklintempleton.com/articles-us/retirement/its-not-too-early-to-start-saving-for-college>

Extraction method: selenium

It's not too early to start saving for college

With a growing family, financial planning can become more complex. At the same time, saving for education is more important than ever.

It's never too early for families to start planning for the cost of education.

In fact, saving as much as possible early on can help families benefit from the power of compounding their earnings over time.

Rising costs and future resources

Today, saving for college is more important than ever.

The rising costs of higher education are well documented. The average cost of attending a public four-year college rose 36% from 2004 to 2024¹. Families and students understand the challenges of paying for college. A recent survey found that 57% of high school students are saving for higher education, up from 50% the previous year. More than half (56%) plan to pay for all or part of their college costs, up from 48% last year. Additionally, 80% plan to work full or part-time while in college.²

The future of public resources is also uncertain, as the federal government focuses on reducing debt and cutting spending.

Step one: Seek advice

How families save can make a difference in meeting their goals. Families can choose different types of accounts and investments. This can be a complicated process as well. Families may want to consider seeking professional advice on college planning.

Some common ways to save for college include 529 plans, custodial accounts, and Roth IRAs. It is important to understand how these accounts differ in terms of ownership, tax treatment, qualified use of funds, and impact on federal financial aid. See our education piece for more details,³ Early college planning for a growing family.⁴

Put time on your side

Starting early gives families more time to save, earn interest, and take advantage of tax benefits. It also provides more flexibility to make changes to the savings plan or use the money for education expenses before college.

Here are some tips for families starting to save while children are young.

Infants and pre-school age children

Some families start saving before a baby is even born. With a 529 savings plan, for example, parents may establish an account using their own Social Security number and name their child as the beneficiary later.

Starting early allows the account to invest through multiple market cycles. If families choose a 529 plan they have the flexibility to adjust investments over time.

Saving with a 529 plan, even when a child is very young, will give you the flexibility to use funds to pay for K-12 tuition (up to \$10,000 per student annually), or a qualified apprenticeship, as well as college costs.

Elementary and middle school (ages 5 to 13)

As your family grows, set up additional savings accounts that focus on the age and goals of the child. If more than one child will attend college at the same time, be sure to include this factor in your planning.

Additional planning considerations:

Pay off debt and maintain emergency savings: Don't forget to pay off debt, keep an emergency fund, and save for retirement.

Review your goals: Regularly check and adjust your short-term and long-term investment plans.

Use college savings calculators: These can help you figure out how much to save.

Ask for help: Encourage grandparents and other family members to contribute to the college fund as gifts or for special occasions.

Explore different savings options: Consider utilizing a variety of savings vehicles help you meet your objectives. Explore prepaid tuition plans that lock in rates for in-state public colleges. A Roth IRA can be used to save for both education and retirement.

Meeting your goals

Developing a comprehensive financial plan can help position you to meet your goals and to fund a college education. College costs have risen consistently over decades and saving is not always easy, particularly with competing financial priorities, such as daily expenses, mortgages and retirement savings.

Guidance from a financial professional can be a key resource. The Franklin Templeton Academy also has resources to assist you with college planning including:

• Four-year action plan to prepare for college?

College savings calculator

Endnotes

The College Board, Trends in College Pricing 2024. As of 2024.

College Savings Foundation, 15th Annual Youth Survey of 1,000 Gen Z High School Students, May 2024.

For more information, speak with your financial professional.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Investors should carefully consider the 529 plan's investment goals, risks, charges and expenses before investing. To obtain the Program Description, which contains this and other information, talk to your financial professional or call Franklin Distributors, LLC, the manager and underwriter for the 529 plan at (800) DIAL BEN/342-5236 or visit franklintempleton.com. You should read the Program Description carefully before investing and consider whether your, or the beneficiary's, home state offers any state tax or other state benefits such as financial aid, scholarship funds, and protection from creditors that are only available for investments in its qualified tuition program.

Franklin Templeton's 529 College Savings Plan is offered and administered by the New Jersey Higher Education Student Assistance Authority (HESAA); managed and distributed by Franklin Distributors, LLC, an affiliate of Franklin Resources, Inc., which operates as Franklin Templeton.

Investments in Franklin Templeton's 529 College Savings Plan are not insured by the FDIC or any other government agency and are not deposits or other obligations of any depository institution. Investments are not guaranteed by the State of New Jersey, Franklin Templeton, or its affiliates and are subject to risks, including loss of principal amount invested. Investing in the plan does not guarantee admission to any particular primary, secondary school or college, or sufficient funds for primary, secondary school or college.

CONTRIBUTORS

Bill Cass, CFP®, CPWA®

Director of Wealth Planning, Franklin Templeton

Related Content

529 plans: Not just for college

A 529 plan can be an effective component of an estate plan

For students with college debt in default, it's time to pay the bill

Explore other Wealth Planning Insights

RELATED CONTENT

IMPORTANT LEGAL INFORMATION

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond market or the economic trends of the markets will be realized. The value of investments and the income from them can go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider ESG as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S. by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents. Download a free version from Adobe's website.

CFA® and Chartered Financial Analyst® are trademarks owned by CFA Institute.